



Baited traps in an auditor's morning

AOA & Co. is an auditing firm in Hong Kong and has performed annual statutory audits for Sapphire Limited, a company listed on the Hong Kong Stock Exchange, for the last 7 years.

Margaret, a partner at AOA & Co., arrives at her office with a cup of coffee and starts her workday with her usual practice of checking the voice messages recorded in her phone. This is what she hears:

"You have one voice message from 8765-4321 recorded at 7am today."

Beep...

"Good morning Margaret, this is Albert, director of Sapphire Limited. I have some wonderful news for you. Our board of directors has just agreed to list our company in the New York Stock Exchange as soon as possible. Since you have been our auditor for the past 7 years, we would like to invite you and your audit team manager, Barry, to meet with our potential investors in the U.S. and let them know of our bright business prospects. My secretary will contact you for your schedule.

Also, I need your help as soon as possible in preparing our financial statements for the year 2017. I know that preparing the statements is normally our job, but our CFO Janet and her team are all tied up with preparing documents for the U.S. listing. They simply have no time to work on the 2017 financial statements. Although Janet is trying to hire someone to help in the Accounting department, who knows when someone will begin working for us?

Margaret, I trust you more than anyone else and we simply cannot afford to have any errors or delays in our financial reporting. Could you spare someone from your office to prepare our 2017 financial statements? I am sorry if I sound pushy but we've got to act fast in order to meet the deadlines of all the American listing procedures. I promise that you will get more than just the audit fees. How about Sapphire paying for a luxury holiday trip for you and Barry upon our successful U.S. listing to express our appreciation..."

As Margaret listens to the requests from Albert, her palms sweat. She quickly runs to Barry's office and finds him finishing a phone call with a big smile on his face. Before she can speak, Barry excitedly jumps up and says, "Guess what?! My wife finally got a new job! She will be the senior accounting manager at Sapphire and her first task is to prepare the financial statement for 2017. I guess Sapphire really needs people quick– they've asked my wife to start working tomorrow..."

"It's time to revisit the Code of Ethics.....", Margaret murmurs.



THE CODE OF ETHICS FOR PROFESSIONAL ACCOUNTANTS

The Code of Ethics for Professional Accountants (COE) sets out fundamental ethical principles and provides the conceptual framework that professional accountants shall apply to:

- identify threats to compliance with the fundamental principles;
- evaluate the significance of the threats identified; and
- apply safeguards, when necessary, to eliminate the threats or reduce them to an acceptable level.

FUNDAMENTAL PRINCIPLES

The five fundamental principles of professional ethics are:

- Integrity (Section 110) – to be straightforward and honest in all professional and business relationships.
- Objectivity (Section 120) – to not allow bias, conflict of interest or undue influence of others to override professional or business judgments.
- Professional Competence and Due Care (Section 130) – to maintain professional knowledge and skill at the level required to ensure that a client or employer receives competent professional services based on current developments in practice, legislation and techniques and act diligently and in accordance with applicable technical and professional standards.
- Confidentiality (Section 140) – to respect the confidentiality of information acquired as a result of professional and business relationships and, therefore, not disclose any such information to third parties without proper and specific authority, unless there is a legal or professional right or duty to disclose, nor use the information for the personal advantage of the professional accountant or third parties.
- Professional Behavior (Section 150) – to comply with relevant laws and regulations and avoid any conduct that discredits the profession.

THREATS AND SAFEGUARDS

A broad range of relationships and circumstances may create a threat. When a threat is created, a professional accountant's compliance with the fundamental principles could be (or at least perceived to be) compromised by that threat.

The COE identifies five categories of threats.

1. Self-interest threat — the threat that a financial or other interest will inappropriately influence the professional accountant's judgment or behavior;
 - Section 200.4 provides examples of circumstances that create self-interest threats for a professional accountant in public practice:
 - A member of the assurance team having a direct financial interest in the assurance client.
 - A firm having undue dependence on total fees from a client.
 - A member of the assurance team having a significant close business relationship with an assurance client.
 - A firm being concerned about the possibility of losing a significant client.
 - A member of the audit team entering into employment negotiations with the audit client.
 - A firm entering into a contingent fee arrangement relating to an assurance engagement.
 - A professional accountant discovering a significant error when evaluating the results of a previous professional service performed by a member of the professional accountant's firm.
2. Self-review threat — the threat that a professional accountant will not appropriately evaluate the results of a previous judgment made, or activity or service performed by the professional accountant, or by another individual within the professional accountant's firm or employing organization, on which the accountant will rely when forming a judgment as part of providing a current service;
 - Section 200.5 provides examples of circumstances that create self-review threats for a professional accountant in public practice:
 - A firm issuing an assurance report on the effectiveness of the operation of financial systems after designing or implementing the systems.
 - A firm having prepared the original data used to generate records that are the subject matter of the assurance engagement.
 - A member of the assurance team being, or having recently been, a director or officer of the client.
 - A member of the assurance team being, or having recently been, employed by the client in a position to exert significant influence over the subject matter of the engagement.



- The firm performing a service for an assurance client that directly affects the subject matter information of the assurance engagement.
- 3. Advocacy threat — the threat that a professional accountant will promote a client's or employer's position to the point that the professional accountant's objectivity is compromised;
 - Section 200.6 provides examples of circumstances that create advocacy threats for a professional accountant in public practice:
 - The firm promoting shares in an audit client.
 - A professional accountant acting as an advocate on behalf of an audit client in litigation or disputes with third parties.
- 4. Familiarity threat — the threat that due to a long or close relationship with a client or employer, a professional accountant will be too sympathetic to their interests or too accepting of their work;
 - Section 200.7 provides examples of circumstances that create familiarity threats for a professional accountant in public practice:
 - A member of the engagement team having a close or immediate family member who is a director or officer of the client.
 - A member of the engagement team having a close or immediate family member who is an employee of the client who is in a position to exert significant influence over the subject matter of the engagement.
 - A director or officer of the client or an employee in a position to exert significant influence over the subject matter of the engagement having recently served as the engagement partner.
 - A professional accountant accepting gifts or preferential treatment from a client, unless the value is trivial or inconsequential.
 - Senior personnel having a long association with the assurance client.
- 5. Intimidation threat — the threat that a professional accountant will be deterred from acting objectively because of actual or perceived pressures, including attempts to exercise undue influence over the professional accountant;
 - Section 200.8 provides examples of circumstances that create intimidation threats for a professional accountant in public practice:
 - A firm being threatened with dismissal from a client engagement.
 - An audit client indicating that it will not award a planned non-assurance contract to the firm if the firm continues to disagree with the client's accounting treatment for a particular transaction.



- A firm being threatened with litigation by the client.
- A firm being pressured to reduce inappropriately the extent of work performed in order to reduce fees.
- A professional accountant feeling pressured to agree with the judgment of a client employee because the employee has more expertise on the matter in question.
- A professional accountant being informed by a partner of the firm that a planned promotion will not occur unless the accountant agrees with an audit client's inappropriate accounting treatment.

Safeguards refer to actions or measures to eliminate or reduce threats to an acceptable level. There are two broad categories of safeguards:

- Safeguards created by the profession, legislation or regulation, which include:
 - Educational, training and experience requirements for entry into the profession.
 - Continuing professional development requirements.
 - Corporate governance regulations.
 - Professional standards.
 - Professional or regulatory monitoring and disciplinary procedures.
 - External review by a legally empowered third party of the reports, returns, communications or information produced by a professional accountant
- Safeguards in the work environment



Below are examples of situations in the scenario that may lead to a potential violation of ethics and would affect the auditor's independence.

	Situation	Threat	Safeguard
1.	Margaret has been Sapphire's audit partner for 7 years.	Familiarity threat	The firm should rotate the engagement partner after a pre-defined period, normally no more than seven years.
2.	The Director of Sapphire, Albert, has invited Margaret and Barry to meet with Sapphire's potential US investors.	Advocacy threat or familiarity threat	Margaret and Barry (and AOA) should decline Albert's invitation.
3.	The Director of Sapphire, Albert, has invited AOA to prepare the 2017 financial statement.	Self-review threat	Margaret (and AOA) should decline Albert's request.
4.	The Director of Sapphire, Albert, has invited Margaret and her audit team to go for a luxury holiday trip with all expenses paid by Sapphire.	Self-interest threat	Margaret (and her audit team) should decline Albert's invitation.
5.	Barry's wife has accepted the job offer from Sapphire for the position of senior accounting manager and will prepare Sapphire's 2017 financial statements.	Self-interest threat or familiarity threat	Barry should be removed from the audit team.

About the authors

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